

LECTURE #2

Date _____

3. TEAM.

- * Co-founder relationships are the most important within a company.
- * Watch out for tension and resolve them immediately.
- * Go with an instinct company to find good cofounders.
- * Better to go alone, rather than actually having a bad co-founder.
- * All of the companies at least have two cofounders.
- *

A. COFOUNDERS.

⇒ You need someone that

- * Know your co-founders (Ideally years) behaves like James Bond.
- * Relentlessly Resourceful.
- * Tough and Confident. / Smart co-founder.
- * You need technical co-founders.



B. TRY NOT TO HIRE

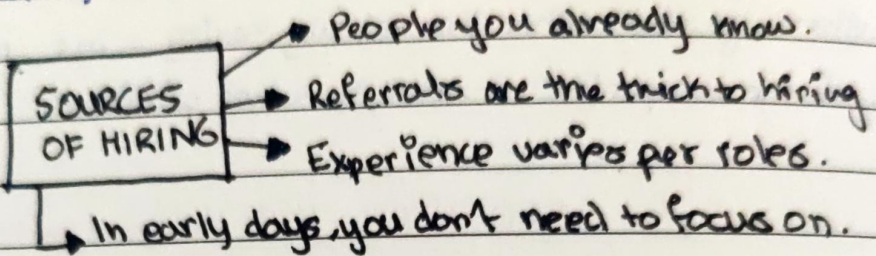
- * It sucks to have a lot of employees.
- * How much you can get done with the smallest number of people.
- * Bad hiring kills the company.
- * Agree on the people and question, "if they had one year left on the medical diagnosis, would they take the job?"
- * Culture of extremely dedicated people when the company got a crisis.

C. Get the BEST PEOPLE

- * The best people know that they are going to be joining a rocketship.
- * Good people will wait and see about your trajectory.
- * 0 to 25% about the time has to be given during the hiring mood.

Mediocre engineers do not
build great companies.

- ⇒ This will kill the company during the first 5-10 hires.
- ⇒ You can't just screw up during the initial stages.



Questions:-

- ① Are they smart?
- ② Do they get things done.
- ③ Do I want to spend a lot of time around them?

* The best way to work on these three questions is by working together.

- * Ask about the projects that they have done in the past?
- * Why are you also trying to hire them.

Also :-

- Good communication skills.
- Manically determined.
- Pass the Animal test.
- Would feel comfortable reporting to them.

GET PEOPLE WHO JUST WANT TO GET THINGS DONE

EMPLOY EQUITY

- 10% of the company to first 10 employees.
- Earning over the four years.
- Founders must be more generous.

forwards employees rather than the investors.

D. You've hired the best - now keep them around

- ⇒ Your employees are happy and they get valued.
- ⇒ Treat everyone fairly.
- ⇒ Managing people and the team.
- ⇒ Learning will provide massive improvements.
- ⇒ Get your team the credit for every good thing that happens and take the responsibility about the bad stuff.
- ⇒ Autonomy mastery. Purpose. } These things allow people to work more dedicatedly.

E. FIRE FAST

- ⇒ One of the worst parts about running the company.
- ⇒ Better for the employee and the company.
- ⇒ Remove people who are creating office politics and are continuously negative.
- ⇒ These things will kill the startup.

* Decide on the co-founder equity as soon as possible and work on it in the first number of weeks.

* People may have to move from one thing to the other.

* What happens if the one of the co-founders moves on?

PREVENTING DEAD WEIGHT ON EQUITY TABLE

1. Have vesting equity.
2. Talk about your problems early.

BETTER TO
LOSE EQUITY
FIRST THAN
TO LOSE
COMPANY

- ⇒ Don't work on different locations and the usage of remote connections.

4. Execution

* is not the more fun part of starting a company.

* most critical idea.

* Sign up on the year's long execution.

* whatever the founders do, becomes the culture.

* You have to do everything yourself.

* How you execute the idea, is really that adds value and makes it more better.

*

The CEO has five jobs :-

1) Set the vision

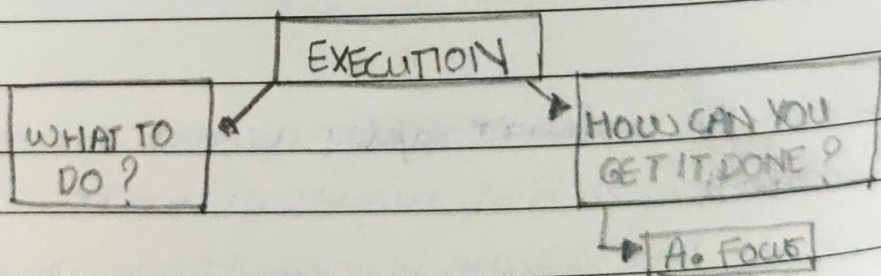
2) Raise money

3) Evangelize

4) Hire and manage

5) make sure the entire company executes.

CRITICAL ROLE



A. FOCUS

⇒ just focus on two to three elements at the start and forget about the rest.

⇒ Give time to the most important elements.

Q. what are you spending time and money on?

Q. what are the two or three most important things?

* You get no points for trying at a startup

⇒ Say no. A lot.

⇒ Set overarching goals. Repeat them. } ⇒ Can you get it done?

⇒ Communicate / You can't be focused without great communication.

⇒ Maintain growth and momentum.

⇒ Work together in person.

Have the right metrics and focus on the right metrics.

* Don't get excited/make the company excited by other things.

Don't get excited by your PR

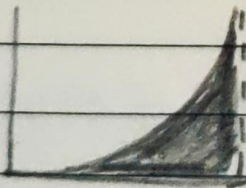
FB. INTENSITY

* only fairly work at an intense level.

* Extreme focus and extreme dedication.

* Startups are not for work-life balance.

* Small amount of work on the right thing, gives a huge difference



Exponential growth

[1.01] ⇒ tiny bit of extra work is something

that just gives a huge difference.

* Relentless operating rhythm.

* Obsession with execution quality.

* Bias towards action.

} [* You have to be decisive.

Every time you talk to them, they've gotten new things done.

* Quick.

* Don't give up.

* Do whatever it takes.

* Be courageous.

* Show up.

⇒ "Get on planes in marginal utilities".

⇒ Always keep momentum.



+ growth.

⇒ life of the startup.

Always keep growing.

⇒ Sales fix everything.

⇒ Fight arises between the people when the momentum loses.

⇒ Whenever a startup loses, focus on small wins.

Set an operating Rhythm:

* Shipping product.

* Launching new features.

* Reviewing/reporting metrics and milestones.

The competitor to be feared is one who never bothers about you at all, but goes on making his own business better all the time.